

Fearnleys Dry Bulk Weekly

Mar 25, 2026



Capesize/Newcastlemax

The market still seems most likely to rise over the next few weeks.

Top left chart: Blast furnace output has rebounded after some weeks of maintenance. Steel mill profitability does not suggest much further upside, however. Port inventory draws in China is a downside risk now, as MySteel's index of seaborne iron ore prices is higher than their index of prices of iron ore in ports.

Top right chart: Shipment volumes were 8.7% higher than last year through week 12.

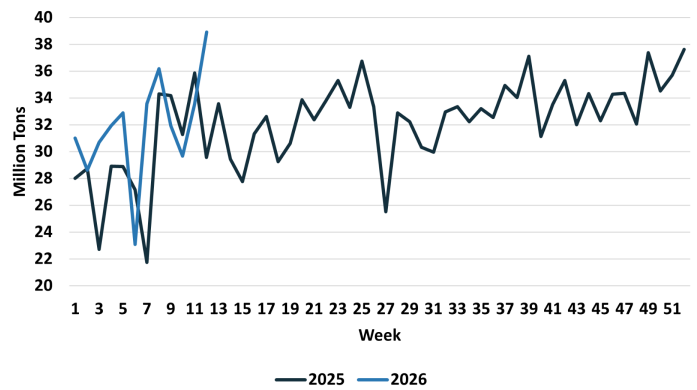
Bottom left chart: The South Atlantic tightness indicator has remained high for two months, but the market has yet to muster a real rally. There is still potential for that, however, which is further supported by high congestion of VLOCs in Brazil.

Bottom right chart: The laden/ballast ratio is above average, but far from an extreme. It must rise further before one eventually can say the market is in toppish territory.

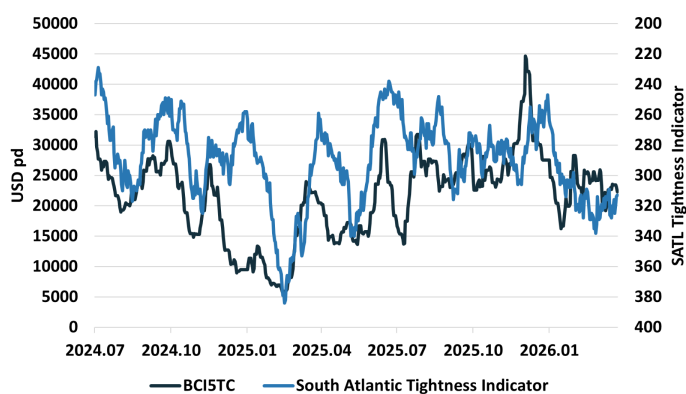
China - Hot Metal Output vs Share of Profitable Steel Mills (7 Weeks Lead)



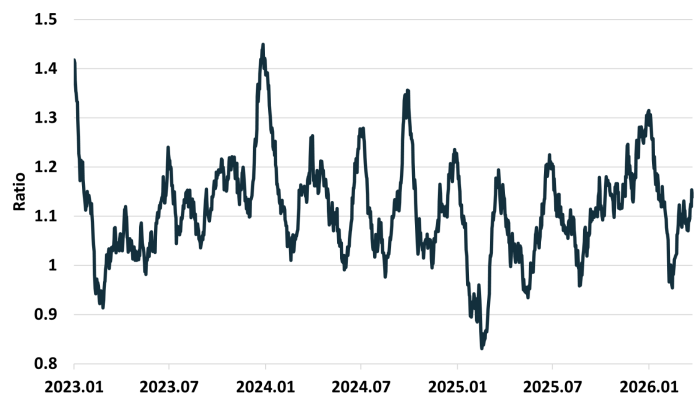
Weekly Shipment Volumes



C5TC 180 vs South Atlantic Tightness Indicator



Laden/Ballast Ratio



Panamax/Kamsarmax

The below indicators still suggest that the market will most likely continue trending down over the next few weeks.

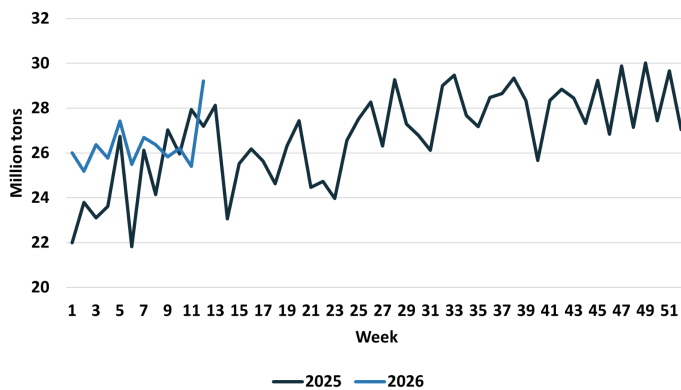
Top left chart: Shipment volumes were up 5.5% year on year through week 12.

Top right chart: Contango in the coal futures curve increased further over the last week, which is surprising given the circumstances. This suggests P5 will continue the softening trend going forward.

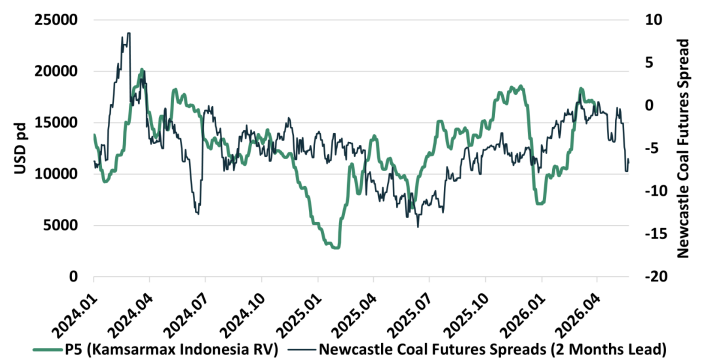
Bottom left chart: The Pacific tightness indicator still suggests weakness going forward. The indicator has stopped falling, however, which might mean the market will find a bottom in early/mid April.

Bottom right chart: The SATL tightness indicator has continued to fall, suggesting further downside for P6.

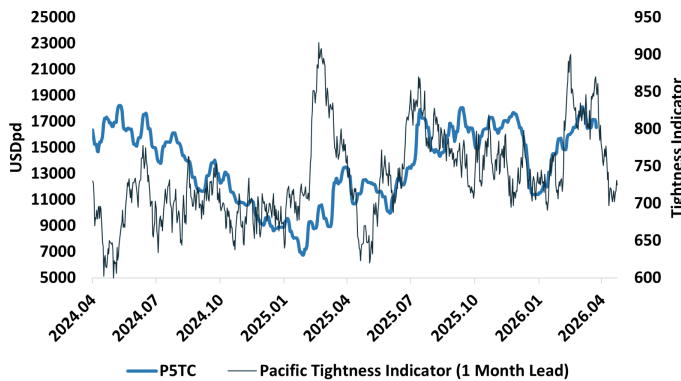
Weekly Shipment Volumes



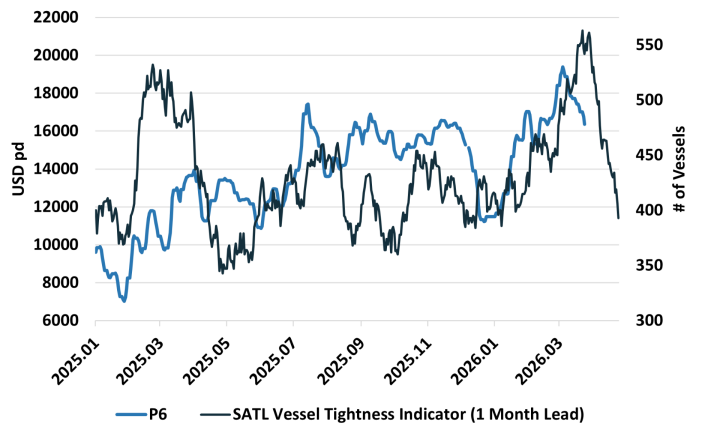
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



P5TC vs Pacific Vessel Tightness Indicator (Lead 1 Month)



P6 vs South Atlantic Vessel Tightness Indicator (Lead 1 Month)





Supramax/Ultramax

Signs of market stabilization, as the ballast/laden vessel ratio has dropped. However, we don't see much reason for the market to rally.

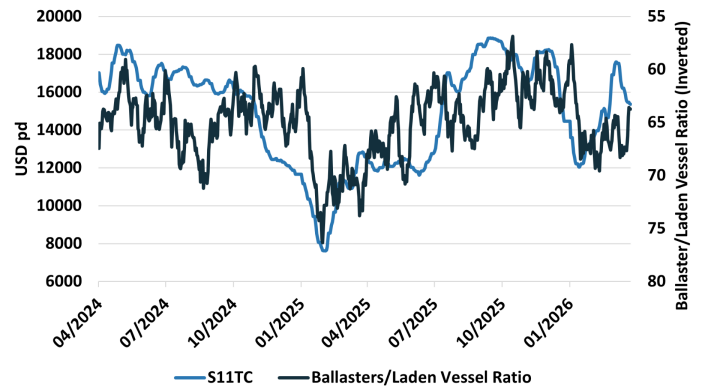
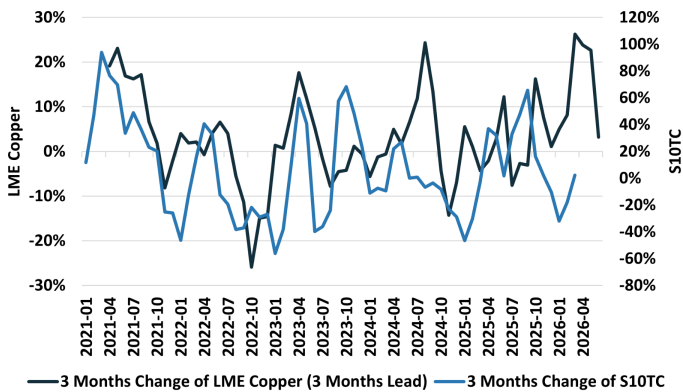
Top left chart: The three-month change in the price of copper has fallen noticeably. Usually, there is a lag of a few months before the same development is seen in the Supramax/Ultramax market. The correlation is still not suggesting the market will fall significantly, but rather that the upside is highly limited going forward.

Top right chart: The chart compares the ballast/laden vessel ratio against the S11TC index. A low ballast/laden vessel ratio reflects a tighter market balance.

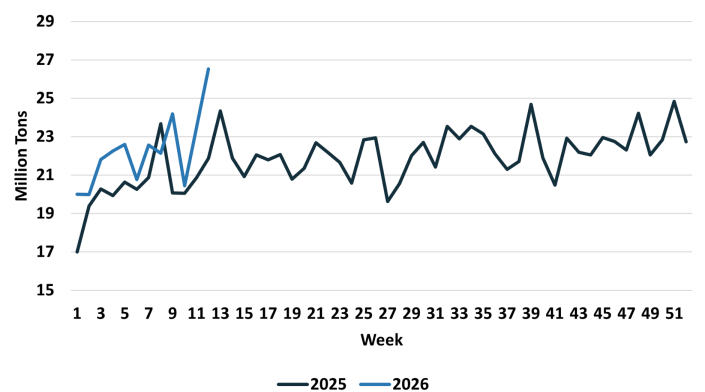
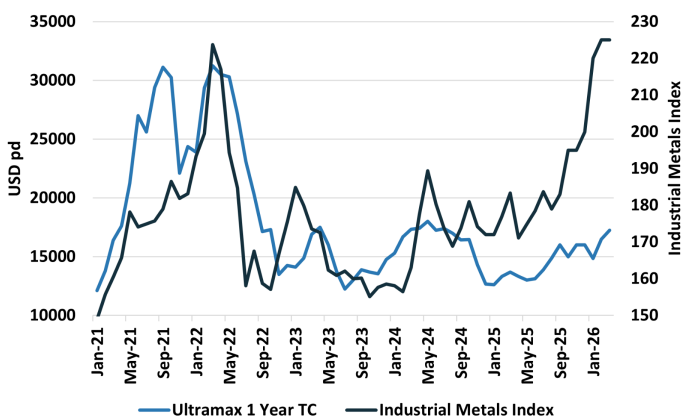
Bottom left chart: Industrial metals prices have displayed weakness in the last couple of months. We held the view before this year that 1-year TC rates likely would exceed the peak reached in 2024. This now seems much less likely, as fundamentals have taken a hit from the consequences of the Iran war.

Bottom right chart: Shipment volumes were up 8.9% year on year through week 12.

Copper Price 3 Months Change, 3 Months Lead S11TC vs Ballaster/Laden Vessel Ratio vs 3 Months Change of Supra 10TC



Industrial Metals Index vs Ultramax 1 Year TC Weekly Shipment Volumes



Handysize

The market could soon find its footing, as there are signs that the Ultramax market is stabilising.

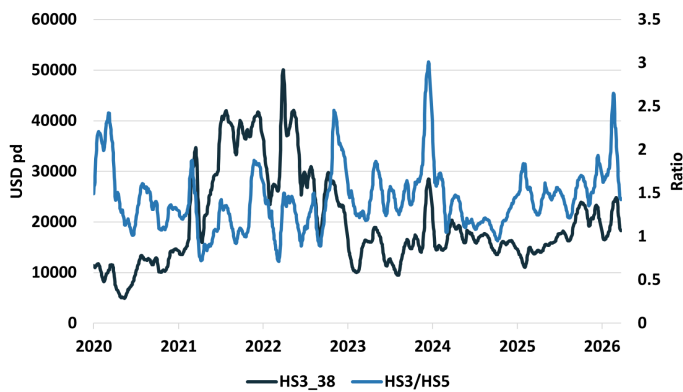
Top left chart: The ratio between Rio-Recalada / Skaw-Passero (HS3) and SEA / Singapore-Japan (HS5) is usually a good predictor of tops and bottoms of the HS3 route. A higher ratio suggests a market top, and a lower ratio suggests a market bottom.

Top right chart: Through week 11, Handysize shipment volumes were 6.0% higher than the same period in 2025.

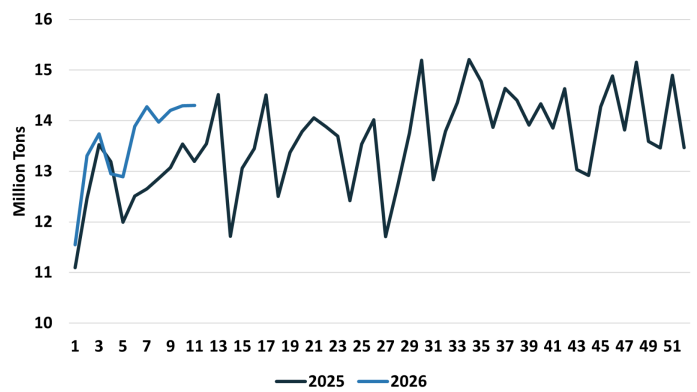
Bottom left chart: The correlation between the S11TC and HS7TC is over 90%. The correlation is even higher when the S11TC index is shifted forward a few days, which means that movements in the S11TC index often lead the movements of the HS7TC. Further downside in the Handysize index is likely over the next week.

Bottom right chart: The changes in the price of copper usually lead the changes in second-hand values, by about 6 months. Positive momentum for values is still suggested for the coming months, though also a potential peak in the middle of this year.

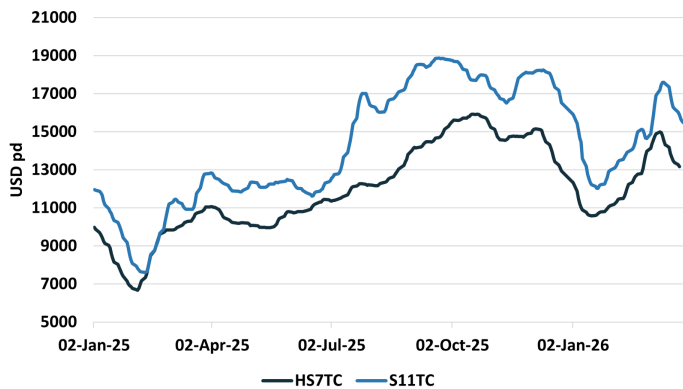
HS3 vs Ratio of HS3 and HS5



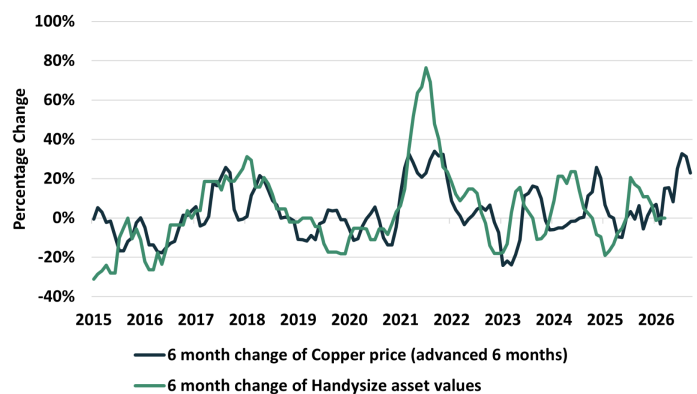
Weekly Shipment Volumes



S11TC Shifted 1 Week Forward, vs HS7TC



Copper Price Changes (Lead 6 Months) vs Handysize 10 Year Old Changes





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